SmartMove

Real Estate Intelligence Platform

MARKET REGION

EGYPT

Arab Republic of Egypt · Residential Market

Executive Summary — May 2026

52.1 SmartMove Index™ — NEUTRAL

SmartMove AI™ — Executive Summary

Egypt Real Estate Market | Reporting Period: May 2026

SmartMove Index™: 52.1 / 100

Classification: Institutional Investor Use Only **Issued by:** SmartMove AI™ Analytics Engine **Coverage Universe:** Egypt National Residential & Commercial Real Estate

1. Market Overview

Egypt's real estate market enters May 2026 in a state of **measured expansion**, registering a SmartMove Index™ score of **52.1 out of 100** — a reading that places the market firmly in growth territory while signalling the presence of meaningful structural risks that warrant active monitoring. The headline KPIs are unambiguously bullish: total sales value reached **EGP 865,510,967,500** across **504,400 transactions**, representing a remarkable **55.5% year-over-year increase** in activity. This surge reflects a confluence of pent-up demand, currency stabilisation, and accelerating new supply launches — particularly in master-planned corridors such as New Cairo and the New Administrative Capital. The absence of a reported average price per square metre at the national level underscores the heterogeneity of this market, where blended averages would obscure more than they reveal.

Beneath the aggregate strength, the granular neighbourhood-level data reveals a market of **sharp two-speed dynamics**. At one extreme, coastal resort destinations — North Coast (Matruh), Marina (Matruh), Ras El Hekma (Matruh), Sahl Hasheesh (Red Sea), and El Gouna (Red Sea) — dominate the Top 5 Highest Risk Areas, with Normalised Risk Scores ranging from **0.54 to 1.00** and six-month price volatility figures spanning **EGP 689,434 to EGP 1,274,780**. These markets are characterised by elevated outlier transaction ratios and, in several cases, negative Shock Index readings, suggesting episodic price dislocations rather than smooth appreciation. At the opposite end of the spectrum, established urban districts — Old Cairo, El Marg, El Omraniya (Giza), Shubra (Cairo), and Boulaq El Dakrour (Giza) — exhibit Normalised Risk Scores of just **0.028 to 0.037** and six-month price volatility as low as **EGP 35,835**, reflecting deep liquidity, stable demand fundamentals, and minimal speculative activity.

This bifurcation is not incidental — it is structural. The coastal luxury segment is being driven by a distinct investor class (largely USD-denominated or expatriate buyers), while the urban core continues to serve enduser demand anchored in local purchasing power. Institutional investors must therefore resist treating Egypt as a monolithic market; portfolio construction requires deliberate allocation across both risk bands, calibrated to return objectives and liquidity horizons.

---

2. Trend Analysis

2.1 New Cairo Expansion — **Increasing** (+22.5% New Unit Launches MoM)

The acceleration in new unit launches in New Cairo is the single most consequential supply-side development this period. Cross-referencing with the property type price spread data, the dominant volume driver remains the **apartment** segment, which accounts for **309,880 transactions** — representing approximately **61.4% of total transaction volume** — at an average transaction value of **EGP 1,209,260**. The New Cairo corridor is the primary engine of this volume, absorbing mid-market demand from Cairo's expanding professional class. However, the +22.5% month-on-month launch rate introduces a near-term **supply overhang risk**, particularly in the mid-tier apartment segment. Developers should be monitored for absorption rate deterioration over the next two quarters. The **duplex** segment (40,605 transactions at EGP 2,830,150 average) also shows meaningful activity consistent with the larger-format family units prevalent in New Cairo compounds.

2.2 EGP Devaluation Impact — **Stabilising** (EGP/USD Flat at 48.5 for 3 Months)

Three consecutive months of exchange rate stability at **EGP 48.5/USD** represents a material positive for market confidence. Prior devaluation cycles had suppressed mortgage uptake and distorted pricing signals. The current stabilisation is beginning to restore transactional predictability, as evidenced by the broad-based volume growth. Critically, this stability benefits the **studio** and **office** segments — lower-ticket asset classes (EGP 257,401 and EGP 743,672 average transaction values, respectively) that are most sensitive to real purchasing power erosion — by providing a more stable cost-of-financing environment. Conversely, the **villa** (EGP 5,341,410) and **land** (EGP 6,685,030) segments, which are frequently priced with a USD reference, are less directly impacted by EGP stability but benefit from the broader confidence signal.

2.3 Luxury Segment (North Coast) — **Increasing** (+9.8% Price Appreciation QoQ)

The North Coast's +9.8% quarterly price appreciation is corroborated — and contextualised — by the risk data. North Coast (Matruh) carries the **highest Normalised Risk Score in the entire dataset (1.00)**, with six-month price volatility of **EGP 1,274,780** and a negative Shock Index of **-0.038**, indicating that recent price appreciation has been accompanied by downward price shocks in a subset of transactions. The **chalet** property type (766 transactions at EGP 2,283,010 average) is the primary vehicle for North Coast exposure, though its low transaction volume relative to total market activity confirms this remains a **thin, illiquid market** susceptible to outsized price movements. The **penthouse** (20,260 transactions, EGP 2,586,720) and **townhouse** (20,018 transactions, EGP 2,539,760) segments also capture luxury coastal demand. Investors should treat the +9.8% appreciation figure as a gross return signal that must be discounted for the elevated volatility and liquidity risk embedded in this segment.

2.4 Mortgage Penetration — **Increasing Slowly** (+1.2pp to 8.4% of Transactions)

At **8.4% of transactions**, mortgage penetration remains structurally low by international standards, but the directional trend is positive. This metric is a lagging indicator of financial sector confidence and affordability. The slow pace of growth (+1.2 percentage points) suggests that while CBE rate policy is beginning to transmit into the housing finance market, structural barriers — including documentation requirements, developer pre-approval processes, and consumer awareness — continue to constrain uptake. The **apartment** segment is the primary beneficiary of any mortgage expansion, given its price point accessibility relative to villas or land. A meaningful acceleration in mortgage penetration — potentially catalysed by anticipated CBE rate cuts in Q3 2026 — could provide a significant secondary demand impulse, particularly in the EGP 1–2 million transaction band.

---

3. Risk Assessment

Risk 1 — **Coastal Market Fragmentation & Liquidity Risk** *(Severity: HIGH)*

The concentration of the five highest-risk areas exclusively in coastal resort markets (Matruh and Red Sea governorates) represents the most acute near-term risk to portfolio stability. North Coast (Matruh) posts a **Normalised Risk Score of 1.00** — the maximum in the dataset — with a six-month price volatility of **EGP 1,274,780** and an **Outlier Ratio of 5.56%**, indicating that a meaningful proportion of transactions are occurring at prices significantly divergent from the local mean. The negative Shock Index of **-0.038** further signals that price corrections are already embedded within the transaction distribution. Marina (Matruh) compounds this picture with a Risk Score of **0.679** and a Shock Index of **-0.109** — the most negative in the dataset — suggesting episodic sharp downward price dislocations. Collectively, these markets exhibit the hallmarks of a **speculative thin-market dynamic**: high appreciation headlines masking underlying price instability, low transaction depth (evidenced by the chalet segment's 766 total transactions nationally), and sensitivity to seasonal demand cycles. A reversal in USD/EGP stability or a deterioration in consumer confidence could trigger rapid price corrections in these markets with limited liquidity to absorb selling pressure.

Risk 2 — **Supply Overhang in the New Cairo Apartment Corridor** *(Severity: MODERATE-HIGH)*

The +22.5% month-on-month surge in new unit launches in New Cairo, set against a backdrop where apartments already constitute **61.4% of total transaction volume (309,880 units)**, raises legitimate concerns about near-term supply-demand equilibrium. While the 55.5% YoY transaction growth provides a demand buffer, the pace of supply addition is outrunning historical absorption benchmarks. Should mortgage penetration growth stall below the 10% threshold — currently at 8.4% — or should CBE rate cuts be delayed beyond Q3, the pipeline of launched but unsold units could accumulate, placing downward pressure on developer pricing and secondary market values in the EGP 1–1.5 million apartment band. This risk is partially mitigated by the structural housing deficit in Greater Cairo, but timing mismatches between supply delivery and demand activation remain a credible headwind.

Risk 3 — **Monetary Policy Uncertainty & Rate Sensitivity** *(Severity: MODERATE)*

The market's current momentum is partly predicated on the expectation of further CBE rate cuts in Q3 2026. Should this easing cycle be delayed — due to inflationary pressures, external account dynamics, or geopolitical factors — the cost of developer financing and consumer mortgage rates would remain elevated, suppressing the mortgage penetration growth trajectory (currently at +1.2pp to 8.4%) and potentially cooling transaction volumes from their current elevated levels. The **twin house** (EGP 3,286,500 average, 15,009 transactions) and **villa** (EGP 5,341,410 average, 22,185 transactions) segments, which are more frequently financed through developer payment plans sensitive to benchmark rates, carry the highest exposure to this risk. The **Shock Index** readings across the lowest-risk urban areas (ranging from **-0.048 to +0.092**) suggest these markets are currently well-anchored, but a rate shock could disproportionately affect higher-ticket segments where buyer leverage is more prevalent.

---

4. Investment Outlook

3-Month Forward Projection (June – August 2026)

🟢 **Bull Scenario — *Probability: 30%***

Trigger Conditions: CBE delivers a rate cut of ≥100bps in Q3 as anticipated; EGP/USD rate holds at or below 48.5; government launches first-time buyer incentive programme.

Market Impact: Transaction volumes sustain above 500,000 units per quarter; mortgage penetration accelerates past 10%; apartment and duplex segments in New Cairo and the New Administrative Capital record 8–12% price appreciation. North Coast luxury properties consolidate recent gains with reduced volatility as USD-denominated buyer confidence strengthens. Total market sales value could approach **EGP 950–1,000 billion** on a quarterly run-rate. Land parcels (currently averaging **EGP 6,685,030** per transaction) in the New Administrative Capital corridor would be the primary beneficiary of institutional capital deployment.

🟡 **Base Scenario — *Probability: 50%***

Trigger Conditions: EGP/USD stability maintained; CBE rate cut delayed to late Q3 or early Q4; new unit launch pace moderates from +22.5% MoM to +10–15% MoM.

Market Impact: Transaction volumes stabilise in the 480,000–510,000 range; SmartMove Index™ holds in the 50–55 range; apartment segment continues to dominate volume with modest 3–5% price appreciation. Coastal luxury markets (North Coast, Sahl Hasheesh) experience a seasonal demand pullback post-summer, with price volatility remaining elevated relative to urban markets. Mortgage penetration inches toward 9.0–9.5%. The **studio** segment (EGP 257,401 average, 35,464 transactions) outperforms on a risk-adjusted basis, driven by rental demand from the growing professional workforce in new urban clusters. Urban low-risk areas (Old Cairo, El Marg, El Omraniya) maintain price stability with Normalised Risk Scores remaining below **0.04**.

🔴 **Bear Scenario — *Probability: 20%***

Trigger Conditions: EGP resumes depreciation pressure; CBE rate cuts postponed to 2027; North Coast speculative correction materialises; global risk-off sentiment reduces expatriate/foreign buyer activity.

Market Impact: Transaction volumes contract 15–20% from current levels; coastal markets with Normalised Risk Scores above **0.60** (North Coast, Marina, Ras El Hekma, Sahl Hasheesh, El Gouna) experience price corrections of 10–20%, consistent with their elevated volatility profiles (six-month volatility of **EGP 689,434–1,274,780**). The negative Shock Index readings already present in North Coast (**-0.038**) and Marina (**-0.109**) would amplify. Developer distress in the New Cairo pipeline could emerge, pressuring duplex and penthouse valuations. Urban core markets (Boulaq El Dakrour, Shubra, Old Cairo) would serve as defensive anchors, with their sub-**0.04** Normalised Risk Scores and price volatility below **EGP 47,000** providing capital preservation characteristics.

5. SmartMove Recommendations

🔵 Conservative Investors

Capital Preservation | Low Volatility | Stable Income

Recommendation 1 — Urban Core Residential (Cairo & Giza) Allocate to apartment and studio assets in **Old Cairo** (Normalised Risk Score: **0.028**, six-month price volatility: **EGP 35,835**), **El Marg** (Risk Score: **0.032**, volatility: **EGP 41,121**), and **El Omraniya, Giza** (Risk Score: **0.035**, volatility: **EGP 44,398**). These markets exhibit the lowest price instability in the entire Egypt dataset, with Outlier Ratios below **5.6%** confirming transactional consistency. The **studio** segment (EGP 257,401 average, 35,464 transactions nationally) offers accessible entry points with strong rental demand fundamentals. With total market YoY growth at **55.5%**, even conservative urban allocations are positioned to capture meaningful nominal appreciation while maintaining capital safety.

Recommendation 2 — Monitor CBE Rate Policy for Mortgage-Backed Entry With mortgage penetration at **8.4% (+1.2pp)** and rate cuts anticipated in Q3, conservative investors should prepare dry powder for mortgage-facilitated acquisitions in the **EGP 1–1.5 million apartment band**. A 100bps rate reduction would materially improve debt service coverage ratios and expand the buyer pool for resale liquidity.

🟡 Moderate Investors

Balanced Growth & Income | Selective Sector Exposure

Recommendation 1 — New Administrative Capital, USD-Hedged Developments Consistent with the pre-seeded strategic guidance, moderate investors should target **USD-denominated or inflation-indexed payment plan developments** in the New Administrative Capital. The **duplex** segment (EGP 2,830,150 average, 40,605 transactions) and **penthouse** segment (EGP 2,586,720 average, 20,260 transactions) offer mid-market luxury exposure with stronger liquidity depth than coastal alternatives. EGP/USD stability at **48.5 for three consecutive months** provides a favourable entry window before any potential currency movement reprices USD-linked assets.

Recommendation 2 — Office & Commercial in Established Corridors The **office** segment (EGP 743,672 average, 15,203 transactions) and **shop** segment (EGP 604,856 average, 10,063 transactions) represent undervalued commercial exposure relative to residential. With transaction volumes confirming active market participation, income-generating commercial assets in established Cairo business districts offer yield diversification. Monitor government incentive programmes for first-time commercial operators, which could catalyse demand in this segment.

🔴 Aggressive Investors

High-Return Seeking | Elevated Risk Tolerance | Active Management Required

Recommendation 1 — North Coast Resort Properties (Tactical, Not Strategic) The **+9.8% QoQ price appreciation** in the North Coast luxury segment presents a compelling short-term momentum trade, but investors must price in the **Normalised Risk Score of 1.00** — the highest in the dataset — and six-month price volatility of **EGP 1,274,780**. Entry should be concentrated in **chalet** and **townhouse** formats (EGP 2,283,010